[ARFC] Aave <> Chainlink SVR. Multi-network expansion (Base, Arbitrum)

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Simple summary

Proposal to expand the Aave/Chainlink SVR syste

Motivation

In **March 2025**, we proposed activating the Aave/Chainlink SVR system for a subset of assets on Aave Ethereum pools. SVR is a layer built on top of block searching and building, as well as price oracles, to recapture value from Aave liquidations, later redirecting this value for protocol protection through mechanisms like Umbrella.
After that initial activation, we followed up with two additional phases that expanded the set of assets covered in Ethereum. Since then, the majority of liquidation volume has occurred via SVR without any issues, even during highly volatile events like the 10th of October 2025.

Even if SVR on Ethereum has been a very successful project, there has not been any expansion to other networks before due to architectural constraints. The block building model on, for example, L2s is substantially different, and the SVR architecture required adaptation by Chainlink in those environments, to have maximum assurance and consistency with the running Ethereum system.

To cover those architectural network differences, Chainlink has adapted the architecture of SVR, but without changing the major assumptions about its system. More precisely, SVR on non-Ethereum networks works as follows:

1. Instead of using Flashbots as a separate transactions coordination and auctioning layer on non-Ethereum networks, it uses Chainlink's native infrastructure, partially from Atlas, a system acquired by Chainlink from Fastlane.
2. The main difference of this system is that settlement/ordering of transactions happens in a smart contract layer now (akin to a multicall/ERC-4337 setup), without the need for a private mempool.
3. Same as with Flashbots, searchers submit a bid, in this case, explicitly to

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ɔns after a price oracle update. So in the case of the Aave protocol, a transaction to "append" after the price oracle update is a liquidation transaction.

4. Similar to SVR on Ethereum, the system still keeps the same flow of fallback to the "public mempool" (sequencer transactions pool in L2s). In parallel with opening the SVR auction to searches, the price oracle update is sent to the public mempool too, in order to fallback afte
major price delay.
Technically, the fallback delay can be subst
configured on Ethereum (10s vs 60s), but w
similar parameterization as Ethereum, giver
specific (generated by Chainlink's DON).

In summary, the trust model of SVR is the same as on Ethereum mainnet, given that price updates generated by the Chainlink DON are still the main trigger for updates, and the mechanism of fallback still mirrors Ethereum. Consequently, we think it is a good next step to activate extra networks with SVR on Aave.

Specification

The initial targets of this multi-network expansion are Base and Arbitrum, both because Chainlink has been battle-testing the new system there, and due to being two of the biggest Aave instances.

Different from the other activation phases of SVR in the past on Ethereum, it is now simpler to reduce the operational overhead of multiphase and have only one activation proposal, given that:

- The SVR architecture is battle-tested on the majority of all Aave's volume, while on Ethereum, SVR was a totally new system.
- On L2s/non-Ethereum L1s, SVR is a more "native" system of Chainlink, hence simpler to cover more feeds.
- Chainlink has been testing the infrastructure during the previous months.

Consequently, we propose to activate the following feeds for each network.
It is important to highlight that in composed prices (combining, for example, ETH/USD and exchange rate), only the internal components using Chainlink data will be swapped to SVR feeds, and only those with any influence on liquidations. These will be decided at AIP stage.

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WETH, wstETH, weETH, cbETH, wrsETH, ezETH, cbBTC, tBTC, lBTC, USDC, syrupUSDC, AAVE.

Arbitrum

ETH, wstETH, weETH, rsETH, ezETH, rETH, WBT
USDT0, AAVE, LINK.

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SVROracleSteward

Similar to all activations of SVR on Ethereum, this expansion will include `SVROracleStewards`.

To refresh the community on the concept, the SvrOracleSteward allows for the Aave Protocol Guardian to replace any of the newly introduced SVR feeds, by *exclusively* the non-SVR feed currently used in production. This way, even in the very unexpected worst-case scenario of the new SVR simply not being functional or having a really major issue, the Aave Protocol Guardian could immediately swap back to the standard price feeds currently used in production.

Next steps

- After some days of discussion with the community, proceed with the ARFC Snapshot.
- If the ARFC is approved, proceed with the on-chain proposal for activation (AIP).

[ARFC] Deploy Aave Protocol v3.7 on Monad

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